Ajanta Pharma Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Mumbai drug maker selling its own branded medicines in India (heart, eye, skin and pain), in about 30 emerging markets across Asia and Africa, plus US generics and anti-malarials sold to Africa through aid agencies. Family-run (the Agrawals), debt-free, with returns on capital among the best in Indian pharma.

Number	Value	What it means
Market cap	Rs 41,516 cr	What the market says the whole company is worth.
Q2 FY27 revenue	Rs 1,794 cr	Sales for the quarter to Sep 2026, up 33% on a year ago.
Q2 FY27 EBITDA	Rs 543 cr at 30%	Operating profit up 47%; margin above the usual 27% band.
Q2 FY27 profit	Rs 388 cr	Up 49%.
Return on capital	ROCE 41%, RoNW 31%	Very high returns; working capital also improved.
Net cash	Rs 574 cr	No debt, even after a Rs 400 cr interim dividend.
Stock P/E	36.5x	A full price, but in line with quality branded pharma.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	28 Jul 2025	Yes
Q2 FY26	3 Nov 2025	Yes
Q3 FY26	30 Jan 2026	Yes
Q4 FY26	5 May 2026	Yes
Q1 FY27	30 Jul 2026	Yes
Q2 FY27	30 Oct 2026	Yes, latest call read in full ★

Six consecutive calls over about 15 months. Screener couldn't download the FY24-FY25 transcripts (the exchange filings are only cover letters pointing to the company site), so the consistency read covers a shorter window than usual.

Latest concall highlights: Q2 FY27 (call held 30 Oct 2026)

- Revenue Rs 1,794 cr (+33%), EBITDA margin 30%, profit Rs 388 cr (+49%). Every business grew.
- Two parts of the jump won't repeat: US generics (+41%) had a product with few rivals and new competitors have now entered, and Africa institutional anti-malarial sales tripled on lumpy aid-agency orders.
- The steady engines: India +16% (ranked 23rd, up from 24th; 17% vs market 13% on IQVIA), Africa branded +41%, Asia branded back to +18% after Middle East shipping problems.
- FY27 guidance unchanged: high-teens revenue growth, 78% gross margin, 27% EBITDA margin (so H2 margins lower), Rs 400 cr capex. US guidance raised from mid- to high-single-digit growth.
- Semaglutide (weight-loss / diabetes) in-licensed for emerging markets; filings just started, sales from FY28 and only gradually.

Business mix & capacity

Domestic vs export: India 28%, Asia and Africa branded 38%, US generics 27%, Africa institutional 7% of Q2 revenue, so about seven-tenths comes from outside India.

Capacity use: Utilisation not disclosed; FY27 capex about Rs 400 cr, of which about Rs 250 cr is for capacity expansion.

3. Earning Trigger thesis

Ajanta's growth comes from steadily adding sales reps and new products in its branded businesses in India, Asia and Africa, which compound in the mid-teens at high margins. That is visible in the numbers. This quarter's spike came from two temporary sources (a low-competition US product and lumpy aid orders), which management itself says will fade in H2.

Trigger	What management said	Evidence so far	Time horizon	Strength
Branded India	Grow 20-25% faster than the market	+16-20%, ahead of market	Ongoing	Strong
Branded Africa	High-teens growth	+35% in H1	Ongoing	Strong
Branded Asia	Mid-teens for FY27	+1% H1 after shipping problems, +18% Q2	FY27	Moderate
US generics	High-single-digit growth	+49% H1 on one product; normalising	FY27	Weak as a lasting driver
Semaglutide in-licensing	Sales from FY28, gradual	Filings started	FY28+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already debt-free
New business	Yes	In-licensed semaglutide for emerging markets; gynaecology division gaining momentum (30 Oct 2026)
Margin up	No	Margin guided back to 27% for the year
New management	No	
New capacity	No	
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: Steady field-force and product additions in branded medicines across India, Africa and Asia, compounding in the mid-teens at high margins.

3c. Margin bridge

EBITDA margin is 30% against 27% a year ago, lifted by the low-competition US product, big institutional orders and a favourable currency. Management guides back to about 27% as these normalise (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jul 2025	FY26 EBITDA margin about 27% excluding forex	26% reported, about 27-28% excluding forex	Delivered
Jul 2025	FY26 gross margin 78% plus or minus 1	78%	Delivered
Nov 2025	Asia low-teens growth for FY26	-1%, hit by Middle East shipping	Missed
Nov 2025	Africa double-digit growth for FY26	+15%	Delivered
May 2026	US mid-single-digit growth in FY27	Running far ahead; raised to high single digit	Delivered
May 2026	Asia recovery in coming quarters	+18% in Q2	Partly

Narrative drift: The story has barely changed in the calls read: invest in people and products in branded markets, guide conservatively, and explain lumpy US and institutional swings in advance. The one miss (Asia) was blamed on shipping, and the recovery has now started.

5. Bottom line

Durable earning trigger? → YES

Not a new trigger but a durable one: branded businesses compounding well ahead of their markets with very high returns. Don't extrapolate this quarter's spike; management itself has flagged that H2 will be slower.

Management consistent? → YES

Margin and growth guidance has been met or beaten, temporary boosts are flagged openly, and the only miss (Asia) had a clear outside cause. The window read is only about 15 months.

6. Checkpoints for next quarter

- Full-year EBITDA margin lands within the guided band
- Asia branded keeps growing after Q2's bounce
- US sales slow as flagged rather than collapse

This is not investment advice. Do your own due diligence.